target range. Let me emphasize that this is not a prediction of either the path of oil prices or a forecast of our monetary actions, lest I read in the paper tomorrow 'RBI to raise rates'. More generally, the extended glide path over which we are bringing inflation in check appropriately balances inflation and the need for reasonable growth.

ARGUMENTS AGAINST WHAT WE ARE DOING

There are many who believe we are totally misguided in our actions. Let me focus on four criticisms. First, we focus on the wrong index of inflation. Second, we have killed private investment by keeping rates too high. Somewhat contradictorily, we are also hurting the pensioner by cutting rates too sharply. Third, monetary policy has no effects on inflation when the economy is supply constrained, so we should abandon our attempt to control it. Fourth, the central bank has little control over inflation when government spending dominates (what in the jargon is called 'fiscal dominance').

THE WRONG INDEX

Historically, the RBI targeted a variety of indicators, putting a lot of weight on the Wholesale Price Inflation (WPI). Theoretically, reliance on WPI has two problems. First, what the common citizen experiences is retail inflation, that is, Consumer Price Inflation (CPI). Since monetary policy 'works' by containing the public's inflation expectations and thus wage demands, Consumer Price Inflation is what matters. Second, WPI contains a lot of traded manufactured goods and commodity inputs in the basket, whose price is determined internationally. A low WPI could result from low international inflation, while domestic components of inflation such as education and health care services as well as retail margins and non-traded food are inflating merrily to push up CPI. By focusing on WPI, we could be deluded into thinking we control inflation, even though it stems